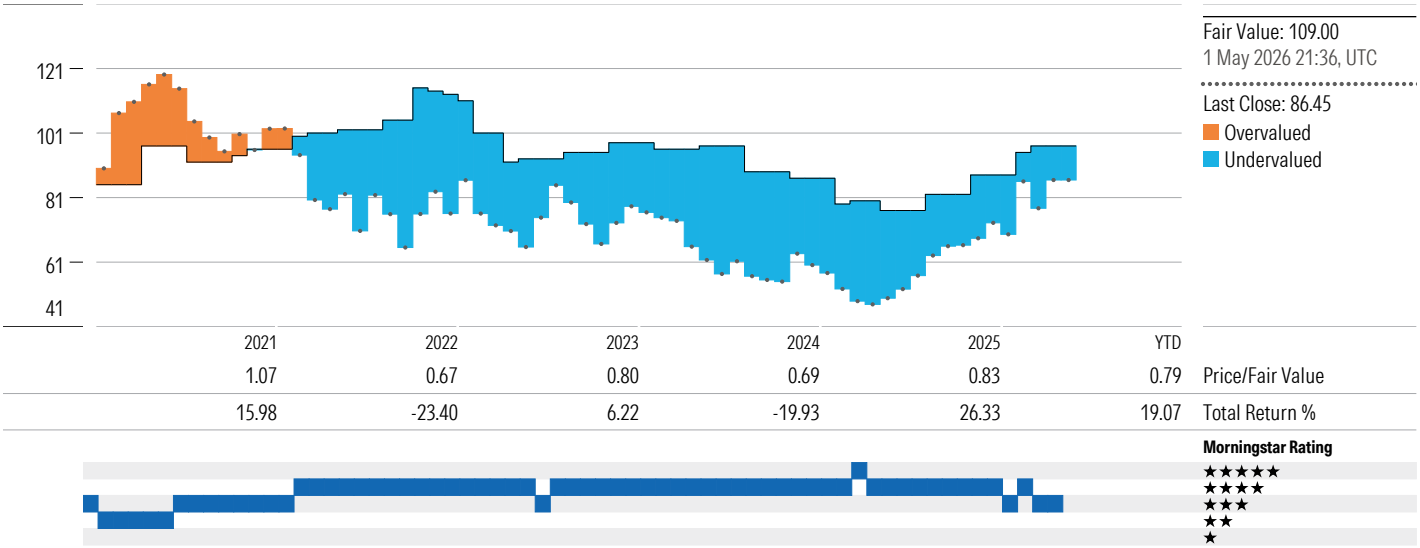
# Magna International Inc MG ★★★★ 1 May 2026 21:48, UTC

| Last Price | Fair Value Estimate | Price/FVE | Market Cap | Economic Moat™ | Equity Style Box | Uncertainty | Capital Allocation | ESG Risk Rating Assessment[1] |
|---|---|---|---|---|---|---|---|---|
| 86.45 CAD<br>30 Apr 2026 | 109.00 CAD<br>1 May 2026 21:36, UTC | 0.79 | 22.86 CAD Bil<br>1 May 2026 | None | Mid Value | High | Standard | 1 May 2026 05:00, UTC |

**Price vs. Fair Value**




| | 2021 | 2022 | 2023 | 2024 | 2025 | YTD | |
|---|---|---|---|---|---|---|---|
| | 1.07 | 0.67 | 0.80 | 0.69 | 0.83 | 0.79 | Price/Fair Value |
| | 15.98 | -23.40 | 6.22 | -19.93 | 26.33 | 19.07 | Total Return % |

**Morningstar Rating**

★★★★★
★★★★
★★★
★★
★

Total Return % as of 30 Apr 2026. Last Close as of 30 Apr 2026. Fair Value as of 1 May 2026 21:36, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

## Magna Earnings: Solid Performance Does Not Merit a Stock Decline, in Our View

**Analyst Note** David Whiston, CFA, CPA, CFE, Senior Equity Analyst, 1 May 2026

Magna's stock closed down 4.5% in May 1 trading after the firm reported first-quarter adjusted diluted earnings per share of $1.38 that beat the $1.01 LSEG consensus. Management maintained full-year adjusted EPS guidance and repurchased $440 million of stock plus another $136 million in April.

**Why it matters:** First-quarter results were helped by an earlier-than-expected cost recovery in a power and vision equity method joint venture, but we calculate that excluding this benefit, EPS would still have beaten consensus. With a stable outlook, we don't see the selloff as justified.

- Revenue fell 2% year over year, excluding a $520 million foreign-exchange benefit from the weaker US dollar, but ongoing operational excellence measures and lower warranty costs enabled, by our math, a 130-basis point improvement in adjusted EBIT margin, excluding the cost recovery, to 4.8%.
- About 55% of EBIT will be from the second half of the year, and there is heightened risk around 2026 performance should gas prices not come down soon or the Iran war worsen, which could be weighing on sentiment. Liquidity is strong at $5 billion, including $1.6 billion of cash.

**The bottom line:** We are raising our fair value estimate for no-moat Magna to USD 80/CAD 109 per share from USD 71/CAD 97. The change is from lowering our weighted average cost of capital and from time value of money since our last update.

- Under our updated discount rate framework, we lowered our WACC to 9.1% from 9.9%. Our beta of 1.1

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**Sector** Consumer Cyclical

**Industry** Auto Parts

**Business Description**

Magna International prides itself on an entrepreneurial culture and a corporate constitution that outlines the distribution of profits to various stakeholders. This automotive supplier's product groups include exteriors, interiors, seating, roof systems, body and chassis, powertrain, vision and electronic systems, closure systems, electric vehicle systems, tooling and engineering, and contract vehicle assembly. In 2025, 48.6% of Magna's USD 42 billion of revenue came from North America, while Europe accounted for approximately 38% and Asia the remainder. The firm's top six customers constituted 75.9% of revenue, with the top three being GM, Mercedes, and Ford. GM was the largest contributor at 15.6%. Magna was founded in 1957, has about 144,000 employees, and is based in Aurora, Ontario.

reflects our view of Magna's low balance-sheet leverage, cyclicality, and mix, now captured with greater granularity.

- Second-quarter results will likely be lower than the market was expecting going into May 1 due to the pull-forward of the cost recovery. We don't see any change to Magna's long-term earnings power, however. The firm will update the market at a Nov. 11 investor day in New York.

## Business Strategy & Outlook David Whiston, CFA, CPA, CFE, Senior Equity Analyst, 1 May 2026

Magna International is one of the largest and most diversified auto-parts suppliers in the world, but that size does not guarantee economic profit. While breadth in products and services can be advantageous regarding cross-selling—commercial activities that bolster content per vehicle and market penetration—we don't see margins getting high enough to merit moatworthy returns on invested capital because of the multiple competitors in Magna's largest segments, though they're close. Magna enjoys customer switching costs, which are common to auto suppliers with moats, but its financial performance, although good, does not quite merit one. Magna's revenue mix is over 75% from Detroit Three and German automakers that suffer from US-imposed tariffs, though Magna gets reimbursed for most of it.

Many suppliers focus on a particular area of the vehicle, but Magna's capabilities are broad enough that the firm can nearly design, develop, supply, and assemble vehicles itself. While Magna's complete vehicle segment has growth opportunities with startup electric vehicle companies (which can go wrong, such as with Fisker's bankruptcy), the operation is highly capital-intensive with limited margin, constraining return on invested capital. More EV volume would help Magna scale its battery-tray business. Diversifying into many areas increases the risks: management resources could be spread too thin, capital could be inefficiently allocated, and the firm could expand into areas with already strong leaders that it won't likely usurp, such as seating and auto-dimming mirrors.

Even though we believe Magna will benefit from disruptive technologies like electrification, advanced driver-assistance systems, and autonomous driving, which it calls "megatrends," the degree of Magna's product diversity damps ROIC expansion potential. Still, the firm's healthy liquidity and balance sheet support operations through severe downturns, such as the coronavirus pandemic and chip shortage. Magna bought Veoneer's active safety business in 2023 to strengthen its megatrends offerings, such as adding Veoneer's higher-volume radar products to complement Magna's higher-end, lower-volume radar offering.

## Bulls Say David Whiston, CFA, CPA, CFE, Senior Equity Analyst, 1 May 2026

- High switching costs often enable sticky market shares for auto suppliers.
- Magna sees growth over time, even with tepid industry vehicle production growth, thanks to more content on vehicles.

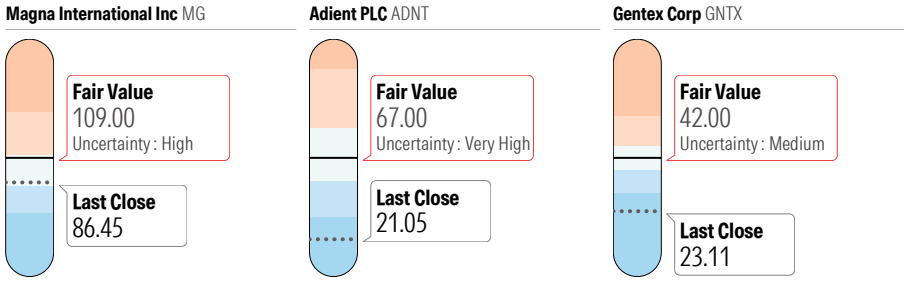
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## Competitors




| | Magna International Inc MG | Adient PLC ADNT | Gentex Corp GNTX |
|---|---|---|---|
| Economic Moat | None | Narrow | Narrow |
| Currency | CAD | USD | USD |
| Fair Value | 109.00 1 May 2026 21:36, UTC | 67.00 30 Apr 2026 21:38, UTC | 42.00 30 Apr 2026 21:28, UTC |
| 1-Star Price | 168.95 | 117.25 | 56.70 |
| 5-Star Price | 65.40 | 33.50 | 29.40 |
| Assessment | Fairly Valued 1 May 2026 | Undervalued 1 May 2026 | Undervalued 1 May 2026 |
| Morningstar Rating | ★★★★1 May 2026 21:48, UTC | ★★★★★30 Apr 2026 05:00, UTC | ★★★★★30 Apr 2026 05:00, UTC |
| Analyst | David Whiston, Senior Equity Analyst | David Whiston, Senior Equity Analyst | David Whiston, Senior Equity Analyst |
| Capital Allocation | Standard | Standard | Standard |
| Price/Fair Value | 0.79 | 0.31 | 0.55 |
| Price/Sales | 0.42 | 0.12 | 1.89 |
| Price/Book | 1.42 | 0.95 | 1.97 |
| Price/Earning | 21.09 | — | 12.98 |
| Dividend Yield | 3.11% | 0.00% | 2.08% |
| Market Cap | 22.86 Bil | 1.67 Bil | 4.86 Bil |
| 52-Week Range | 44.85—95.18 | 11.89—27.32 | 20.48—29.38 |
| Investment Style | Mid Value | Small Value | Small Value |

- As automakers consolidate purchases with fewer suppliers, large vendors such as Magna are in the best position to gain share because they can offer a wide range of parts, modules, and complete systems.

**Bears Say** David Whiston, CFA, CPA, CFE, Senior Equity Analyst, 1 May 2026

- Magna relies heavily on a handful of automakers; its top six customers accounted for 76% of total 2025 revenue. Asian automakers can be hard to gain share with.
- The cyclical, capital-intensive nature of the industry means that a modest volume decline could translate into a significant drop in profitability and the stock price.
- The auto-parts supply industry is highly competitive, and customers expect annual contractual price reductions absent product innovation. Raw material costs are volatile and tariff risk adds even more uncertainty to margins.

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**Economic Moat** David Whiston, CFA, CPA, CFE, Senior Equity Analyst, 1 May 2026

While Magna innovates in its product lineup, benefits from high customer switching costs, has size to merit scale, and possesses long-term, highly integrated customer relationships, we think that it does not benefit enough from its intellectual property or cost structure to drive consistent economic profits over time. Owing to restructuring actions taken in 2009, Magna's economic profits were relatively fair until the coronavirus pandemic. However, a lack of economic profit since the pandemic and our forecast years carrying little to no economic profit each year merit a Morningstar economic moat rating of none.

Among auto suppliers, the most common sources of economic moats tend to be intangible assets and switching costs. From a qualitative perspective, Magna enjoys switching cost advantages like many large suppliers do and its customer relationships are an intangible asset, but many of its products are too commodified to generate moatworthy ROIC.

Vehicles typically consist of thousands of parts, each of which requires deep expertise and incremental investment as newer vehicle models come to market. As a result, automakers outsource many of the components that make up their vehicles to auto suppliers that have more specialized knowledge surrounding particular parts and drive long-term relationships with these suppliers through co-development agreements, tooling, and research and development subsidies. This dynamic helps reduce automakers' expenses, as they don't have to pay for the entire cost of developing and manufacturing every part that goes into their vehicle. It also drives long-term sticky relationships for auto suppliers, creating a deeply integrated business while keeping competitors at bay.

In our view, Magna has significant scale and co-development agreements, which are evidence of an economic moat. However, there's an additional factor that drives the development of barriers to entry, and that relates to pricing power to generate economic profit, which we think Magna lacks. Across its largest business units, the company faces fierce competition from numerous auto suppliers. For 2025, the company's two largest segments, body exteriors and structures and power and vision, accounted for about 74% of sales. Within these two segments, Magna faces immense competition, as noted in the company's annual information form, where it lists dozens of competitors. Products in these groups include things like stamping, chassis systems, doors and handles, trim, grilles, and lighting—things that we consider commodified due to the numerous competitors. As a result, segment margins remain in the single digits across the various business units, despite Magna's significant size. In 2026, Magna reached a deal to divest USD 1.1 billion in low-profit revenue from lighting and rooftop systems via three transactions, so management is taking steps to be less commodified in its lineup.

Auto-dimming internal and exterior mirrors are a good example of Magna's profit/product contrast with more-specialized narrow-moat suppliers. Magna makes mirrors in its power and vision segment; its main mirror competitor is Gentex, which controls around 80% of the auto-dimming mirror market.

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These tech-heavy mirrors can generate moatworthy ROIC, as evidenced by Gentex's roughly high teens to 20% levels on EBIT margins around 20%-25%. However, Magna Mirrors does not disclose profit metrics and is so small within Magna that even if that division has similar EBIT margin to Gentex (which we doubt, due to Gentex's share vastly larger and its better technology), it's not enough to bring Magna's overall profit and ROIC metrics to moatworthy levels. This same dynamic happens in seating, where Magna's seating group EBIT margin of 3.6% and share (often number four or five) do not approach seating leader Lear's profit margin of 6.4%. Furthermore, Magna's 2025 seating revenue of USD 5.9 billion does not rival Adient's USD 14.5 billion or Lear's USD 17.3 billion, making achieving scale in seating more difficult for Magna versus these two leading firms.

Additionally, we forecast Magna's ROICs to mostly remain very slightly below or just above its cost of capital as the industry faces new megatrends in the form of autonomous vehicles, electric vehicles, and more electronic safety and assisted-driving content. We believe Magna will be forced to increase its pace of investments, driving further pressure on margins. It is also worth noting that relative to many of the other auto suppliers, Magna has historically spent less on R&D as a percentage of revenue (low single digits versus midsingle digits for some other suppliers). Meanwhile, it's generating mid-single-digit EBIT margins, meaning it could at times be at a disadvantage with respect to the next auto investment cycle. The acquisition of Veoneer's active safety business for USD 1.5 billion (about 1 times 2023 sales) brought USD 670 million of goodwill and is an example of the high investment required to stay competitive in the megatrend arena. Investment needs for megatrends are huge compared with prepandemic and a reason we don't model ROIC returning to prepandemic levels in the midteens.

**Fair Value and Profit Drivers** David Whiston, CFA, CPA, CFE, Senior Equity Analyst, 1 May 2026

We are raising our fair value estimate on the Toronto Stock Exchange-traded shares of Magna to CAD 109 from CAD 97. The change is from lowering our weighted average cost of capital and from time value of money since our last update. We lowered our WACC to 9.1% from 9.9% under our updated discount rate framework to model Magna's low financial leverage, business lines, and the cyclical nature of the business with greater granularity. Our model is built in US dollars, so we translate our USD 80 fair value estimate to Canadian dollars at a rate of CAD 1/USD 0.7358. We model average operating margin excluding equity income across our five-year explicit forecast period at 5.9%.

Magna targets 2026 adjusted EBIT margin, which includes equity income but excludes tariffs (management presently sees nearly all tariff costs reimbursed by customers, albeit with a lag), at 6.0%-6.6%. We model 2026 revenue of around USD 43 billion and adjusted EBIT margin of about 6%. Volume, cost containment efforts, and contribution from new-vehicle program launches are the largest contributors to whether Magna reaches its 2026 targets. Cost-efficiency measures, which Magna calls operational excellence, are playing a key role in profit growth along with lower net engineering spending in light of sluggish industry light-vehicle production. Lack of volume is a problem for all

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suppliers but should improve after the next few years once tariff uncertainty improves, given depressed vehicle production from the pandemic and the chip shortage.

We assume Magna's revenue grows at about a 2% compound annual rate for 2026-30. Operating margin before equity income was above 7% in 2015-17 but has suffered from the chip shortage and investments for electric vehicles and driver assistance tech. Our adjusted EBIT margin including equity method income assumptions for 2026-30 averages 6.3%, expanding from 5.6% in 2025 to a peak of 6.6% in 2030 (our midcycle year) on greater operating leverage. Revenue growth and richer-margin-potential products, including advanced driver-assistance systems and electrified powertrain products and EV battery trays, should enhance profit mix over time as these new products realize more volume to reach scale. We assume a long-run effective tax rate of 21.5% based on Magna's historical results and Canadian statutory tax rates.

**Risk and Uncertainty** David Whiston, CFA, CPA, CFE, Senior Equity Analyst, 3 Mar 2026

Our Morningstar Uncertainty Rating for Magna is High. The primary risks associated with our fair value estimate include a decline in global light-vehicle production, tariff impacts, and raw material cost volatility. Annual contractual price reductions for original equipment manufacturer customers are an auto industry norm, so Magna has to aggressively employ lean manufacturing programs to advance cost savings. To maintain pricing and margin, Magna also requires continual investment in innovation. A loss of focus in cost reduction or technological development could result in an erosion of profitability and economic profit. Magna operates in a capital-intensive industry subject to cyclical demand. As a result, the it has a high degree of operating leverage, so sudden declines in volume can have a meaningful impact on returns. Conversely, any increase in sales following large cost-cutting measures significantly raises profits. Volatile commodity costs could also be an issue. Magna uses numerous types of steel, copper, aluminum, and magnesium. Petroleum-based commodities include plastic resin, foam, and synthetic rubber and could increase on higher oil prices in light of the Iran war.

We think Magna has some environmental, social, and governance risk exposure, which complements our High Uncertainty Rating. The firm has risk from vehicle recalls. Magna's products are highly engineered, requiring the company to attract and retain highly skilled human capital with expertise in various engineering disciplines. Magna supplies products for electric vehicles and greenhouse gas-emitting internal combustion engine vehicles plus provides complete vehicle contract assembly. The latter is available even to startup automakers whose fate is uncertain, which can lead to capital loss, as with Magna's now worthless investment in and terminated assembly contract with bankrupt Fisker.

**Capital Allocation** David Whiston, CFA, CPA, CFE, Senior Equity Analyst, 1 May 2026

We assign Magna a Standard Capital Allocation Rating, which reflects our assessment of a sound balance sheet, fair investment, and mixed shareholder distributions. We think reinvestment in the

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business is the most likely key driver of total shareholder returns. Management says that primary deployment of capital is to preserve liquidity and high investment-grade credit rating metrics, reinvest in operations (organic growth through innovation plus acquisitions), and return excess cash to shareholders including continued dividend per share growth with share repurchases. At a normalized midcycle, we forecast Magna's return on invested capital will be right around its weighted average cost of capital.

We expect the balance sheet to remain sound, and debt refinancing when needed should not be a problem. Despite being an acquisitive company, debt levels generally remain low and Magna returns cash to shareholders via dividends and at times share repurchases. In February 2024, management said its first priority is to get its leverage ratio of adjusted debt/adjusted EBITDA back to its 1.0-1.5 times target range from 1.89 times at year-end 2023. It accomplished that goal in early 2026.

In October 2025, the company announced an approximately 25.3 million-share repurchase program that is valid through Nov. 6, 2026. It had about 14.4 million shares remaining as of May 1, by our estimate. At late October 2025 prices and assuming full utilization, the cost would be about USD 1.2 billion for about 9% of the company. We like the move a lot because in 2024 and 2025, the stock traded well below our fair value estimate, and we believe Magna has the balance sheet to repurchase the shares while still reinvesting in the business. We'd like to see more buybacks over time. The company has raised its dividend for 16 straight years through 2025. The 2025 payout ratio was 33.9% of adjusted diluted EPS. Magna's corporate constitution requires a healthy common stock dividend and gives shareholders the right to elect two additional directors if aftertax returns on capital are less than 4% for two consecutive years. However, Magna's returns on capital are generally higher than 4% due to low financial leverage in its capital structure.

We like that the board of directors is mandated to be at least two-thirds independent. Currently, there are 12 independents out of a total of 13 board members, with CEO Swamy Kotagiri the only nonindependent member. With the high number of independent members, all of Magna's board committees are completely independent. We also like that the chair and CEO roles have been split. Robert MacLellan, who has fund manager and other corporate board experience, is board chair. Kotagiri, a company veteran of over two decades, replaced Don Walker as CEO after the latter's retirement at the end of 2020.

In August 2010, Magna converted all its supervoting Class B shares held by Frank Stronach, founder and former chair and CEO, into a single share class and became a one-share, one-vote company. Magna purchased and canceled all of the Class B shares, and the Stronach Trust received 9 million Class A shares and USD 300 million. Stronach founded the company in his garage in 1957. His daughter, Belinda Stronach, served as president and CEO from February 2002 until January 2004. She is also the ex-wife of former CEO Walker. Frank Stronach retired from the board of directors but was given the title of honorary chair.

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## Analyst Notes Archive

**Magna Earnings: Third Quarter Exceeds Management's Expectations; Guidance Increased** David Whiston, CFA, CPA, CFE,Senior Equity Analyst,31 Oct 2025

Magna reported third quarter adjusted diluted EPS of $1.33, up 3.9% year-over-year. The company announced a new share buyback program for about 9% of the diluted share count. It also raised 2025 revenue, equity income, and adjusted EBIT margin guidance. Why it matters: Market sentiment is poor for the auto supplier space due to uncertainty around US tariff policy and the Nexperia chip shortage. To us, management did not sound worried about Nexperia, and a guidance increase, along with further share buybacks through Nov. 6, 2026, is a good sign. Adjusted EBIT margin increased 10 basis points to 5.9%, with all segments except power improving. Unmitigated tariff damage was 35 basis points, but operational improvements and equity income growth offset the tariffs. The 2025 margin guidance at the midpoint is 10 basis points higher at 5.5%. Reported free cash flow more than tripled to $572 million on working capital and lower capital spending. With $1.3 billion in cash and a total liquidity of $4.7 billion, in our view, the company has ample reserves to withstand a downturn should the Nexperia or Ford aluminum shortage hurt badly. The bottom line: We are raising our fair value estimates for no-moat Magna to $63 from $59 and CAD 88 from CAD 82. This is driven by the time value of money, higher projected revenue, and equity income over our five-year explicit forecast period, and a weaker Canadian dollar versus the US dollar. As long as the US avoids a recession, we don't see 2026 as a bad year for Magna. The complete assembly business also has new contracts from two Chinese automakers, Xpeng and one unnamed. These are the first Chinese customers for this business, and more could follow to avoid EU tariffs. The guidance increase came on higher expected North American and Chinese light vehicle production. Management did not mention its 2026 outlook given earlier this year, either, so things look stable for now, despite uncertainty, and we think 2026 upside is possible.

**Magna Earnings: Efficiency Measures Yield Good Second Quarter and Guidance Hike** David Whiston, CFA, CPA, CFE,Senior Equity Analyst,1 Aug 2025

Magna's second-quarter adjusted diluted EPS of $1.44 rose 6.7% year over year and beat the $1.14 LSEG consensus. Management also lowered its net 2025 tariff expense guidance to $200 million from $250 million and raised the low end of 2025 adjusted EBIT margin guidance to 5.2% from 5.1%. Why it matters: We had modeled full-year 2025 revenue well below management's guidance on tariff fears, but the firm increased sales guidance to a midpoint of $41.2 billion, up from $40.8 billion. CEO Swamy Kotagiri on the call said he feels good about 2026 guidance provided volumes hold. We see all these developments as positive news for shareholders. The largest segment, body exteriors, saw its adjusted EBIT margin rise 60 basis points despite segment sales down 4.7%, and overall margin rose 20 basis points to 5.5% on a 3% revenue decline. Tariffs took 40 basis points of adjusted EBIT margin, but operational excellence activities and lower launch costs added 50 basis points. These efforts, plus

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# Magna International Inc MG ★★★★ 1 May 2026 21:48, UTC

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higher equity income, offset lower North American production volumes. 2025 equity income midpoint guidance rose 12.5% to $90 million. The bottom line: We maintain our no-moat rating but are raising our Magna fair value estimates to $59 from $56 and CAD 82 from CAD 77. The change is from time value of money, a lower share count, higher revenue, and higher equity income over our five-year explicit forecast period. Second-quarter results show the market should start giving Magna more credit for its ability to control costs, but we think tariff fears and skepticism about 2026 execution will remain an overhang. Share buybacks remain paused on uncertainty, and we'd like to see spending resume. Magna has over $5 billion in total liquidity, including $1.5 billion of cash, so we think it can weather the tariff storm. Management guides for fourth quarter to have about 35% of full-year adjusted EBIT and first half a bit over 40%, so third quarter will be softer than second quarter's $583 million.

**Magna Earnings: First-Quarter Weakness Shouldn't Last Into Second-Half 2025** David Whiston, CFA, CPA, CFE,Senior Equity Analyst,2 May 2025

Magna's first-quarter adjusted diluted EPS fell 38.5% year over year to $0.78 and missed the $0.90 LSEG consensus. The company had guided for the first quarter to be the lowest one of 2025 but said results still came in broadly ahead of its expectations. It also amended 2025 guidance. Why it matters: Given the large EPS miss, market expectations were too high going into earnings, which sent the stock down over 3%. Profit weakness came from the core BES segment, which saw segment EBIT fall 22.8%, while seating swung to a loss on now-resolved warranty costs. New 2025 guidance excludes tariffs' impact, but Magna expects full customer recoveries on unmitigated incremental tariff costs. We think there could be timing differences on those recoveries. Revenue is 3.6% higher at its midpoint on higher sales in all segments except seating. Adjusted EBIT guidance is now 5.1%-5.6%, down from 5.3%-5.8% but is at risk if full tariff recoveries do not occur. Magna said it has about $500 million in gross tariff exposure and 75%-80% of its $2 billion worth of tariffed inventory is USMCA-compliant. It sees $250 million of annual net exposure. The bottom line: We leave our fair value estimate unchanged at USD 56 but lower our Canadian estimate to CAD 77, down from CAD 80, on the stronger Canadian dollar versus the US dollar since our last update. We see the stock as quite undervalued but don't see an upward catalyst soon. Tariff uncertainty forced management to pause the share repurchase program, but first-quarter spending totaled $51 million. Buybacks could resume this year if tariff uncertainty improves or if Magna can reduce the roughly $250 million annualized tariff exposure via parts sourcing changes. Magna got good news May 1 when US Customs and Border Protection said Canadian and Mexican USMCA-compliant auto parts will be exempt from the 25% tariff that starts May 3. The exemption looks like it could be permanent, but we expect tariff policies to keep changing.

**Tariff Pause for a Month May Just be Delaying Inevitable Levies on GM and Ford** David Whiston, CFA, CPA, CFE,Senior Equity Analyst,5 Mar 2025

The White House on March 5 said that the 25% tariffs on vehicles imported into the US from Canada

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and Mexico that began a day earlier will be delayed for one month, provided those vehicles comply with the United States-Mexico-Canada Agreement. The change came after President Donald Trump spoke with the leaders of the Detroit Three, who argued that the tariffs hurt firms such as theirs but not those that export vehicles into the US from nations such as Japan, Germany, and South Korea. White House comments to the media on March 5 indicate that tariffs on all vehicle imports regardless of the country of origin will still commence on April 2, so we think 25% or reciprocal tariffs will start at that time.What is not clear is whether the March 4 tariffs also come back, which would mean Detroit Three automakers and firms such as Toyota and Honda could be hit with a possible 50% tariff for Mexican and Canadian production. The March 4 tariffs, Trump says, are in response to the flow of fentanyl across the border and unauthorized immigration (and thus separate from the April 2 tariffs) so a deal on those issues could be reached before April 2. But even so, the 25% April 2 tariffs would still apply unless a USMCA carve-out is given.As we said in our March 4 note, we are not changing the fair value estimates for our US automotive coverage at this time because it is not clear how long any tariffs might last. It would cost automakers and suppliers billions of dollars and time to move capacity, and it is not yet clear how much of the tariffs would be absorbed by automakers, suppliers, and dealers. If some sort of USMCA carve-out isn't provided, the 25% April 2 tariffs could erase most of GM's and Ford's annual profit, by our estimate. We hope a deal is reached in some form to at least spare the North American trade zone for autos and preserve American automakers' profits.

**Canada and Mexico Tariffs Are a Major Problem for GM, Ford, and Suppliers if They Persist** David Whiston, CFA, CPA, CFE,Senior Equity Analyst,4 Mar 2025

The 25% tariffs on all US imports from Canada and Mexico began on March 4. As discussed in our Nov. 26 note on General Motors and Ford, these tariffs are punishment for what President Donald Trump feels are inadequate measures by these two nations and China for fentanyl and illegal immigration into the US. Lately, White House rhetoric seems more focused on fentanyl than immigration. We consider these tariffs very bad news for our US autos coverage, but for now, we are leaving our fair value estimates in place.It is not clear at this time if the tariffs will last a few days, months, or the rest of Trump's term, so we are not immediately going to model a permanent shift in automotive manufacturing to the US and lower profits for 2025-28. It would cost automakers and suppliers billions of dollars to move capacity, and it is not yet clear how much of the tariffs will be absorbed by automakers, suppliers, and dealers. Tier 1 suppliers have publicly said they are passing the costs along to automakers, but how much in turn will flow to dealers and consumers, if any, is not clear. Also, we think these tariffs have a chance of going away soon if Canada and Mexico take some type of unspecified action on fentanyl to satisfy Trump. There are separate 25% automotive tariffs due on April 2 that we think will apply to all imported autos, so as to target Korea, Japan, and Germany. Also, steel and aluminum tariffs start March 12.Of GM and Ford, we see GM as more exposed to the March 4 tariffs as it assembled 37% of its 2024 North American production in Canada and Mexico (mostly the latter)

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versus 17% for Ford. Ford is not immune, however, as it makes the Maverick, Bronco Sport, and 3.5L F-150 engines in Mexico. Ford also makes 7.3L V-8 Super Duty engines in Canada. Among suppliers, we see Adient with high exposure due to cut-and-sew seating labor in Mexico, while Gentex has minimal direct tariff risk with only about $10 million of wire harness sourcing in Mexico.

**Magna Earnings: Another 2026 Outlook Cut and Weak 2025 Revenue Necessitates Fair Value Reduction** David Whiston, CFA, CPA, CFE,Senior Equity Analyst,14 Feb 2025

Magna International's fourth quarter was solid, included a dividend increase for the 15th straight year, and benefited from an easy year-over-year comparison due to the United Auto Workers strike in the prior-year quarter. However, management introduced 2025 guidance that fell well below LSEG consensus for revenue and cut its 2026 outlook after already reducing it on Aug. 2, both of which we see as disappointing. We are lowering our fair value estimate to USD 56/CAD 79 per share from USD 62/CAD 87, and we may make further changes once we roll our model forward for the 40-F filing. The change is from factoring in 2025 and 2026 guidance given on Feb. 14, which compared with our prior model led to reducing revenue over 2025-28 by 8.8%, equity income by 29.4%, and average operating income excluding equity income by 30 basis points to 5.8%. 2025 revenue guidance at its midpoint is USD 39.4 billion, far below the USD 42.4 billion consensus figure going into Feb. 14 earnings. Adjusted EBIT margin is guided at 5.3%-5.8%, while we were modeling 5.6% and now model 5.5%.The firm's 2026 outlook given in August was for midpoint revenue of USD 45.25 billion, but the new midpoint is 8.2% lower at USD 41.55 billion. 2026 adjusted EBIT margin, which includes equity income, is now targeted at 6.5%-7.2%, down from 6.7%-7.4%, and equity income is now USD 65 million-USD 110 million, down from USD 125 million-USD 170 million. Volume and contribution from new-vehicle program launches is the largest contributor to Magna reaching its 2026 targets, though continued cost-efficiency measures, which Magna calls operational excellence, will also play a role along with lower net engineering spending. Lack of volume is a problem for all suppliers but should improve over the next few years, given depressed vehicle production from the pandemic and the chip shortage. Guidance for both years includes no possible or already-announced tariffs, such as the 25% US ones on steel and aluminum imports.

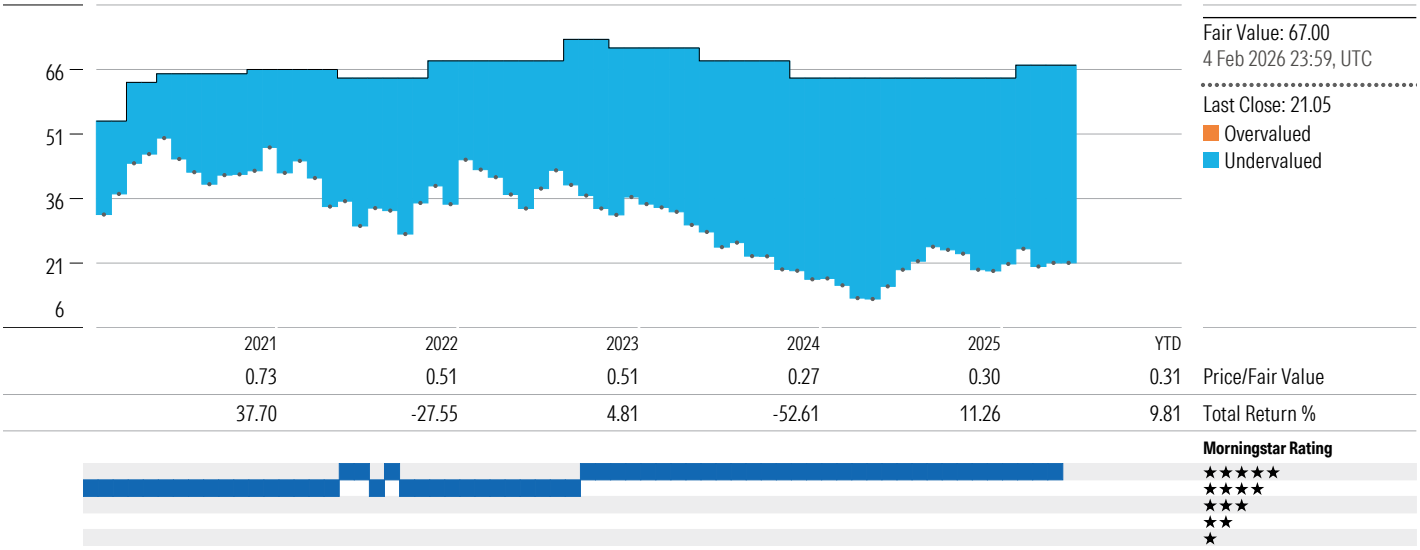
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## Competitors Price vs. Fair Value

### Adient PLC ADNT

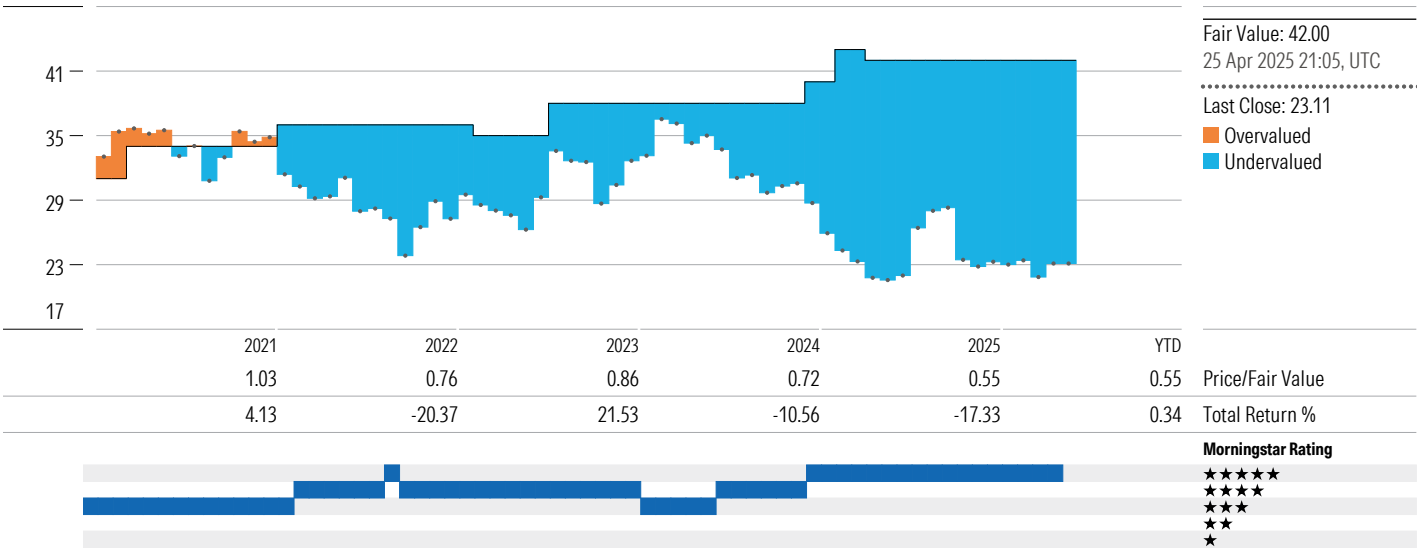



| | 2021 | 2022 | 2023 | 2024 | 2025 | YTD | |
|---|---|---|---|---|---|---|---|
| | 0.73 | 0.51 | 0.51 | 0.27 | 0.30 | 0.31 | Price/Fair Value |
| | 37.70 | -27.55 | 4.81 | -52.61 | 11.26 | 9.81 | Total Return % |




Total Return % as of 30 Apr 2026. Last Close as of 30 Apr 2026. Fair Value as of 4 Feb 2026 23:59, UTC.

### Gentex Corp GNTX




| | 2021 | 2022 | 2023 | 2024 | 2025 | YTD | |
|---|---|---|---|---|---|---|---|
| | 1.03 | 0.76 | 0.86 | 0.72 | 0.55 | 0.55 | Price/Fair Value |
| | 4.13 | -20.37 | 21.53 | -10.56 | -17.33 | 0.34 | Total Return % |




Total Return % as of 30 Apr 2026. Last Close as of 30 Apr 2026. Fair Value as of 25 Apr 2025 21:05, UTC.

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## Morningstar Valuation Model Summary

| **Financials** as of 01 May 2026 | Actual | | | Forecast | | | | |
|---|---|---|---|---|---|---|---|---|
| **Fiscal Year,** ends 31 Dec | **2023** | **2024** | **2025** | **2026** | **2027** | **2028** | **2029** | **2030** |
| Revenue (USD Mil) | 42,797 | 42,836 | 42,010 | 42,591 | 43,373 | 44,234 | 45,287 | 46,045 |
| Operating Income (USD Mil) | 2,126 | 2,228 | 2,221 | 2,385 | 2,672 | 2,433 | 2,672 | 2,809 |
| EBITDA (USD Mil) | 3,562 | 3,626 | 3,657 | 3,874 | 4,217 | 4,034 | 4,261 | 4,418 |
| Adjusted EBITDA (USD Mil) | 3,562 | 3,626 | 3,657 | 3,982 | 4,333 | 4,158 | 4,393 | 4,558 |
| Net Income (USD Mil) | 1,213 | 1,009 | 829 | 1,744 | 1,938 | 1,732 | 1,931 | 2,032 |
| Adjusted Net Income (USD Mil) | 1,574 | 1,553 | 1,618 | 1,827 | 2,027 | 1,829 | 2,035 | 2,142 |
| Free Cash Flow To The Firm (USD Mil) | -1,351 | 1,446 | 1,403 | 2,061 | 2,363 | 2,367 | 2,063 | 1,855 |
| Weighted Average Diluted Shares Outstanding (Mil) | 287 | 287 | 283 | 270 | 263 | 257 | 251 | 246 |
| Earnings Per Share (Diluted) (USD) | 4.23 | 3.52 | 2.93 | 6.45 | 7.36 | 6.75 | 7.69 | 8.27 |
| Adjusted Earnings Per Share (Diluted) (USD) | 5.49 | 5.41 | 5.73 | 6.76 | 7.70 | 7.12 | 8.11 | 8.72 |
| Dividends Per Share (USD) | 1.84 | 1.90 | 1.94 | 1.98 | 2.06 | 2.14 | 2.23 | 2.32 |

| **Margins & Returns** as of 01 May 2026 | | Actual | | | Forecast | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | **3 Year Avg** | **2023** | **2024** | **2025** | **2026** | **2027** | **2028** | **2029** | **2030** | **5 Year Avg** |
| Operating Margin % | 4.9 | 5.0 | 5.2 | 5.3 | 5.6 | 6.2 | 5.5 | 5.9 | 6.1 | 5.6 |
| EBITDA Margin % | — | 8.3 | 8.5 | 8.7 | 9.1 | 9.7 | 9.1 | 9.4 | 9.6 | — |
| Adjusted EBITDA Margin % | — | 8.3 | 8.5 | 8.7 | 9.4 | 10.0 | 9.4 | 9.7 | 9.9 | 9.7 |
| Net Margin % | 2.4 | 2.8 | 2.4 | 2.0 | 4.1 | 4.5 | 3.9 | 4.3 | 4.4 | 4.2 |
| Adjusted Net Margin % | 3.7 | 3.7 | 3.6 | 3.9 | 4.3 | 4.7 | 4.1 | 4.5 | 4.7 | 4.5 |
| Free Cash Flow To The Firm Margin % | 1.2 | -3.2 | 3.4 | 3.3 | 4.8 | 5.5 | 5.4 | 4.6 | 4.0 | 4.8 |

| **Growth & Ratios** as of 01 May 2026 | | Actual | | | Forecast | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| | **3 Year CAGR** | **2023** | **2024** | **2025** | **2026** | **2027** | **2028** | **2029** | **2030** | **5 Year CAGR** |
| Revenue Growth % | 3.6 | 13.1 | 0.1 | -1.9 | 1.4 | 1.8 | 2.0 | 2.4 | 1.7 | 1.8 |
| Operating Income Growth % | 11.1 | 31.3 | 4.8 | -0.3 | 7.4 | 12.0 | -8.9 | 9.8 | 5.1 | 4.8 |
| EBITDA Growth % | 7.3 | 19.1 | 1.8 | 0.9 | 5.9 | 8.9 | -4.3 | 5.6 | 3.7 | 4.0 |
| Adjusted EBITDA Growth % | 6.9 | 19.1 | 1.8 | 0.9 | 8.9 | 8.8 | -4.0 | 5.7 | 3.8 | 4.5 |
| Earnings Per Share Growth % | 13.0 | 108.2 | -16.9 | -16.6 | 119.8 | 14.1 | -8.4 | 14.1 | 7.5 | 23.0 |
| Adjusted Earnings Per Share Growth % | 13.0 | 29.6 | -1.4 | 5.8 | 18.0 | 14.0 | -7.5 | 13.8 | 7.5 | 23.0 |

| **Valuation** as of 01 May 2026 | Actual | | | Forecast | | | | |
|---|---|---|---|---|---|---|---|---|
| | **2023** | **2024** | **2025** | **2026** | **2027** | **2028** | **2029** | **2030** |
| Price/Earning | 10.8 | 7.7 | 9.3 | 9.0 | 7.9 | 8.5 | 7.5 | 7.0 |
| Price/Sales | 0.4 | 0.3 | 0.4 | 0.4 | 0.4 | 0.4 | 0.4 | 0.4 |
| Price/Book | 1.4 | 1.0 | 1.2 | 1.3 | 1.1 | 1.1 | 1.0 | 0.9 |
| Price/Cash Flow | — | — | — | — | — | — | — | — |
| EV/EBITDA | 6.5 | 5.1 | 5.8 | 5.5 | 5.1 | 5.3 | 5.0 | 4.8 |
| EV/EBIT | 10.9 | 8.2 | 9.5 | 9.2 | 8.2 | 9.0 | 8.2 | 7.8 |
| Dividend Yield % | 3.1 | 4.6 | 3.6 | 3.3 | 3.4 | 3.5 | 3.7 | 3.8 |
| Dividend Payout % | 33.5 | 35.1 | 33.9 | 29.3 | 26.7 | 30.1 | 27.5 | 26.6 |
| Free Cash Flow Yield % | — | — | — | — | — | — | — | — |

| **Operating Performance / Profitability** as of 01 May 2026 | Actual | | | Forecast | | | | |
|---|---|---|---|---|---|---|---|---|
| **Fiscal Year,** ends 31 Dec | **2023** | **2024** | **2025** | **2026** | **2027** | **2028** | **2029** | **2030** |
| ROA % | 3.8 | 3.3 | 2.6 | 5.5 | 5.9 | 5.2 | 5.6 | 5.7 |
| ROE % | 9.9 | 8.5 | 6.5 | 13.0 | 13.5 | 11.5 | 12.0 | 11.9 |
| ROIC % | 9.6 | 9.0 | 9.4 | 9.4 | 10.0 | 9.0 | 9.5 | 9.6 |

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| **Financial Leverage** (Reporting Currency) | Actual | | | Forecast | | | | |
|---|---|---|---|---|---|---|---|---|
| **Fiscal Year,** ends 31 Dec | **2023** | **2024** | **2025** | **2026** | **2027** | **2028** | **2029** | **2030** |
| Debt/Capital % | 29.9 | 37.0 | 30.8 | 17.2 | 16.6 | 15.9 | 15.2 | 14.5 |
| Assets/Equity | 2.6 | 2.6 | 2.4 | 2.4 | 2.3 | 2.2 | 2.1 | 2.1 |
| Net Debt/EBITDA | 1.7 | 1.6 | 1.4 | 0.6 | 0.3 | 0.1 | -0.1 | -0.2 |
| Total Debt/EBITDA | 2.0 | 1.9 | 1.8 | 1.2 | 1.1 | 1.1 | 1.1 | 1.0 |
| EBITDA/ Net Interest Expense | 6.5 | 5.4 | 3.9 | 24.1 | 21.9 | 21.0 | 21.2 | 22.0 |

| **Forecast Revisions** as of 1 May 2026 | 2026 | | 2027 | | 2028 | |
|---|---|---|---|---|---|---|
| **Prior data** as of 3 Mar 2026 | **Current** | **Prior** | **Current** | **Prior** | **Current** | **Prior** |
| Fair Value Estimate Change (Trading Currency) | 109.00 | 71.19 | — | — | — | — |
| Revenue (USD Mil) | 42,591 | 42,776 | 43,373 | 43,556 | 44,234 | 44,419 |
| Operating Income (USD Mil) | 2,385 | 2,443 | 2,672 | 2,639 | 2,433 | 2,443 |
| EBITDA (USD Mil) | 3,982 | 4,042 | 4,333 | 4,312 | 4,158 | 4,175 |
| Net Income (USD Mil) | 1,827 | 1,859 | 2,027 | 2,003 | 1,829 | 1,837 |
| Earnings Per Share (Diluted) (USD) | 6.45 | 6.57 | 7.36 | 7.27 | 6.75 | 6.78 |
| Adjusted Earnings Per Share (Diluted) (USD) | 6.76 | 6.88 | 7.70 | 7.61 | 7.12 | 7.16 |
| Dividends Per Share (USD) | 1.98 | 1.98 | 2.06 | 2.06 | 2.14 | 2.14 |

**Key Valuation Drivers** as of 01 May 2026

| | |
|---|---|
| Cost of Equity % | 10.1 |
| Pre-Tax Cost of Debt % | 5.9 |
| Weighted Average Cost of Capital % | 9.1 |
| Long-Run Tax Rate % | — |
| Stage II EBI Growth Rate % | 4.5 |
| Stage II Investment Rate % | 45.0 |
| Perpetuity Year | 10 |

Additional estimates and scenarios available for download at https://pitchbook.com/.

**Discounted Cash Flow Valuation** as of 01 May 2026

| | **USD Mil** |
|---|---|
| Present Value Stage I | 7,698 |
| Present Value Stage II | 3,432 |
| Present Value Stage III | 13,085 |
| **Total Firm Value** | **24,215** |
| Cash and Equivalents | 1,612 |
| Debt | 4,712 |
| Other Adjustments | 57 |
| **Equity Value** | **21,058** |
| Projected Diluted Shares | 270 |
| **Fair Value per Share** (CAD) | **109.00** |

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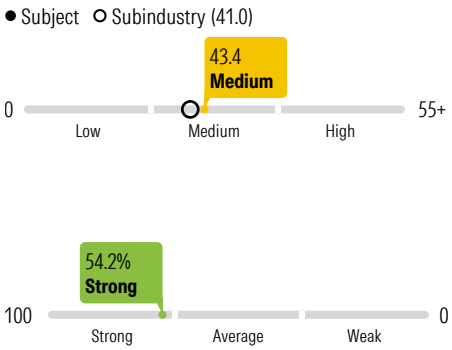
MORNINGSTAR®

# Magna International Inc MG ★★★★ 1 May 2026 21:48, UTC

| Last Price | Fair Value Estimate | Price/FVE | Market Cap | Economic Moat™ | Equity Style Box | Uncertainty | Capital Allocation | ESG Risk Rating Assessment[1] |
|---|---|---|---|---|---|---|---|---|
| 86.45 CAD<br>30 Apr 2026 | 109.00 CAD<br>1 May 2026 21:36, UTC | 0.79 | 22.86 CAD Bil<br>1 May 2026 | None | Mid Value | High | Standard | 1 May 2026 05:00, UTC |

## ESG Risk Rating Breakdown

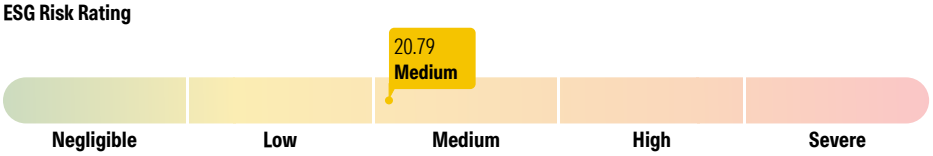
| | |
|---|---|
| **Exposure** | |
| Company Exposure[1] | 43.4 |
| – Manageable Risk | 41.6 |
| **Unmanageable Risk[2]** | **1.8** |
| **Management** | |
| Manageable Risk | 41.6 |
| – Managed Risk[3] | 22.6 |
| **Management Gap[4]** | **19.0** |
| **Overall Unmanaged Risk** | **20.8** |




- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

### ESG Risk Rating




ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 54.2% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

### ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 01, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Auto Parts. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

## Peer Analysis 01 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

| Company Name | Exposure | | | Management | | | ESG Risk Rating | | |
|---|---|---|---|---|---|---|---|---|---|
| **Magna International Inc** | 43.4 \| Medium | 0 | 55+ | 54.2 \| Strong | 100 | 0 | 20.8 \| Medium | 0 | 40+ |
| Gentex Corp | 37.8 \| Medium | 0 | 55+ | 47.6 \| Average | 100 | 0 | 20.5 \| Medium | 0 | 40+ |
| Lear Corp | 43.0 \| Medium | 0 | 55+ | 65.6 \| Strong | 100 | 0 | 15.9 \| Low | 0 | 40+ |
| Dauch Corp | 45.5 \| Medium | 0 | 55+ | 38.8 \| Average | 100 | 0 | 28.6 \| Medium | 0 | 40+ |
| Adient PLC | 45.9 \| Medium | 0 | 55+ | 54.8 \| Strong | 100 | 0 | 21.7 \| Medium | 0 | 40+ |

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# Appendix

## Historical Morningstar Rating

**Magna International Inc** MG 30 Apr 2026 05:00, UTC

| Dec 2026 | Nov 2026 | Oct 2026 | Sep 2026 | Aug 2026 | Jul 2026 | Jun 2026 | May 2026 | Apr 2026 | Mar 2026 | Feb 2026 | Jan 2026 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| — | — | — | — | — | — | — | ★★★ | ★★★ | ★★★★ | ★★★ | ★★★★ |
| Dec 2025 | Nov 2025 | Oct 2025 | Sep 2025 | Aug 2025 | Jul 2025 | Jun 2025 | May 2025 | Apr 2025 | Mar 2025 | Feb 2025 | Jan 2025 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2024 | Nov 2024 | Oct 2024 | Sep 2024 | Aug 2024 | Jul 2024 | Jun 2024 | May 2024 | Apr 2024 | Mar 2024 | Feb 2024 | Jan 2024 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2023 | Nov 2023 | Oct 2023 | Sep 2023 | Aug 2023 | Jul 2023 | Jun 2023 | May 2023 | Apr 2023 | Mar 2023 | Feb 2023 | Jan 2023 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2022 | Nov 2022 | Oct 2022 | Sep 2022 | Aug 2022 | Jul 2022 | Jun 2022 | May 2022 | Apr 2022 | Mar 2022 | Feb 2022 | Jan 2022 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★ | ★★★ |
| Dec 2021 | Nov 2021 | Oct 2021 | Sep 2021 | Aug 2021 | Jul 2021 | Jun 2021 | May 2021 | Apr 2021 | Mar 2021 | Feb 2021 | Jan 2021 |
| ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★ | ★★ | ★★ | ★★ | ★★ | ★★★ |

**Adient PLC** ADNT 30 Apr 2026 05:00, UTC

| Dec 2026 | Nov 2026 | Oct 2026 | Sep 2026 | Aug 2026 | Jul 2026 | Jun 2026 | May 2026 | Apr 2026 | Mar 2026 | Feb 2026 | Jan 2026 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| — | — | — | — | — | — | — | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ |
| Dec 2025 | Nov 2025 | Oct 2025 | Sep 2025 | Aug 2025 | Jul 2025 | Jun 2025 | May 2025 | Apr 2025 | Mar 2025 | Feb 2025 | Jan 2025 |
| ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ |
| Dec 2024 | Nov 2024 | Oct 2024 | Sep 2024 | Aug 2024 | Jul 2024 | Jun 2024 | May 2024 | Apr 2024 | Mar 2024 | Feb 2024 | Jan 2024 |
| ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ |
| Dec 2023 | Nov 2023 | Oct 2023 | Sep 2023 | Aug 2023 | Jul 2023 | Jun 2023 | May 2023 | Apr 2023 | Mar 2023 | Feb 2023 | Jan 2023 |
| ★★★★★ | ★★★★★ | ★★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2022 | Nov 2022 | Oct 2022 | Sep 2022 | Aug 2022 | Jul 2022 | Jun 2022 | May 2022 | Apr 2022 | Mar 2022 | Feb 2022 | Jan 2022 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★★ | ★★★★ | ★★★★★ | ★★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2021 | Nov 2021 | Oct 2021 | Sep 2021 | Aug 2021 | Jul 2021 | Jun 2021 | May 2021 | Apr 2021 | Mar 2021 | Feb 2021 | Jan 2021 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |

**Gentex Corp** GNTX 30 Apr 2026 05:00, UTC

| Dec 2026 | Nov 2026 | Oct 2026 | Sep 2026 | Aug 2026 | Jul 2026 | Jun 2026 | May 2026 | Apr 2026 | Mar 2026 | Feb 2026 | Jan 2026 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| — | — | — | — | — | — | — | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ |
| Dec 2025 | Nov 2025 | Oct 2025 | Sep 2025 | Aug 2025 | Jul 2025 | Jun 2025 | May 2025 | Apr 2025 | Mar 2025 | Feb 2025 | Jan 2025 |
| ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ | ★★★★★ |
| Dec 2024 | Nov 2024 | Oct 2024 | Sep 2024 | Aug 2024 | Jul 2024 | Jun 2024 | May 2024 | Apr 2024 | Mar 2024 | Feb 2024 | Jan 2024 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★★ |
| Dec 2023 | Nov 2023 | Oct 2023 | Sep 2023 | Aug 2023 | Jul 2023 | Jun 2023 | May 2023 | Apr 2023 | Mar 2023 | Feb 2023 | Jan 2023 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ |
| Dec 2022 | Nov 2022 | Oct 2022 | Sep 2022 | Aug 2022 | Jul 2022 | Jun 2022 | May 2022 | Apr 2022 | Mar 2022 | Feb 2022 | Jan 2022 |
| ★★★★ | ★★★★ | ★★★★ | ★★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★★ | ★★★ | ★★★ |
| Dec 2021 | Nov 2021 | Oct 2021 | Sep 2021 | Aug 2021 | Jul 2021 | Jun 2021 | May 2021 | Apr 2021 | Mar 2021 | Feb 2021 | Jan 2021 |
| ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ | ★★★ |

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# Research Methodology for Valuing Companies

## Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

## 1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

## 2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

### Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

### Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

### Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

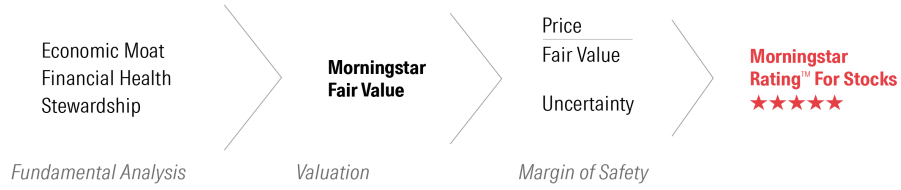
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

## 3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

**Morningstar Equity Research Star Rating Methodology**




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# Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

| | Margin of Safety | |
|---|---|---|
| Qualitative Analysis Uncertainty Ratings | ★★★★★Rating | ★Rating |
| Low | 20% Discount | 25% Premium |
| Medium | 30% Discount | 35% Premium |
| High | 40% Discount | 55% Premium |
| Very High | 50% Discount | 75% Premium |
| Extreme | 75% Discount | 300% Premium |

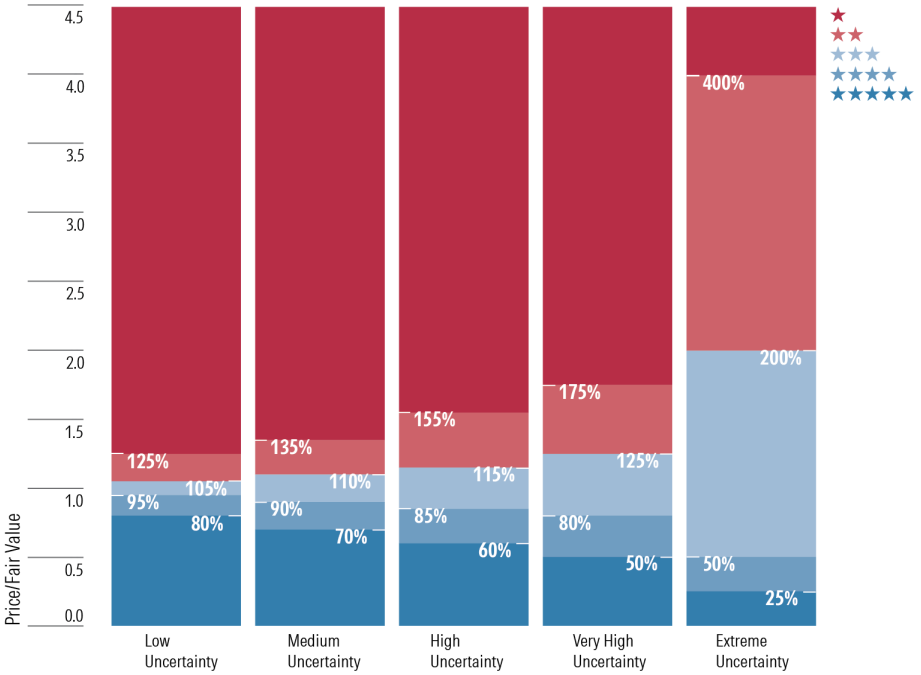
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

### 4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

**Morningstar Equity Research Star Rating Methodology**




### Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

### Other Definitions

**Last Price:** Price of the stock as of the close of the market of the last trading day before date of the report.

**Capital Allocation Rating:** Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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